



VILLANOVA **ESG**

EU-BRAZIL SUPPLIER EVIDENCE

— EXECUTIVE CHECKLIST

The CFO Checklist for EU-Brazil Supplier Evidence

A board-level diagnostic: will your Brazilian suppliers' evidence survive European scrutiny?

18 technical reports with DOIs

ECESP · European Commission

Real operations in Brazil since 2011

The CFO Checklist for EU-Brazil Supplier Evidence

A board-level checklist for CFOs, procurement leaders and compliance teams that need to know whether Brazilian supplier evidence is ready for European buyer, lender, investor or board scrutiny.

Checklist Purpose

Identify evidence gaps before European procurement or lender review creates commercial pressure.

Financial Lens

Revenue continuity, margin protection, buyer approval, valuation and financing confidence.

Primary Output

A decision-ready view of whether evidence is complete, fragmented, missing or not buyer-readable.

Executive Signal

European buyers do not need Brazilian suppliers to sound sustainable.

They need supplier evidence they can use.

That distinction is decisive.

A Brazilian supplier may have real operations, strong delivery capacity, competitive pricing and a long commercial history. But if its documents are fragmented, informal, outdated or difficult for European teams to interpret, the supplier becomes harder to approve.

The CFO's role is to identify that risk before procurement, lenders, investors or boards force the issue.

This checklist is designed for that moment.

The CFO Problem

A CFO cannot treat supplier evidence as a compliance department detail.

Supplier evidence can affect revenue, margin, contract renewal, buyer confidence, valuation and financing perception.

- ◆ Weak traceability can delay buyer approval.
- ◆ Missing emissions data can create Scope 3 or CBAM friction.
- ◆ Incomplete origin evidence can create EUDR exposure in relevant commodities.
- ◆ Unstructured product data can weaken DPP readiness.
- ◆ Unsupported packaging or recycling claims can create claim defensibility risk.
- ◆ Contract clauses can transfer evidence obligations without internal readiness.

The checklist helps CFOs separate real readiness from false confidence.

The Checklist Logic

The checklist is not a legal opinion.

It is an executive triage tool.

Its purpose is to identify where the company is exposed before an external party controls the timeline.

If evidence is missing, fragmented or not buyer-readable, the risk is already financial.

The board does not need a generic sustainability diagnosis.

The board needs to know which evidence gaps can affect a commercial decision.

CFO Evidence Checklist

Each question should be answered with one of four statuses: **Ready**, **Partial**, **Missing** or **Not Buyer-Readable**.

Checklist Area	CFO Question	Evidence Required	Risk If Weak
Buyer Exposure	Which European or EU-linked buyers are financially material?	Revenue by buyer, contract value, renewal calendar and buyer requirements.	Revenue concentration and contract continuity risk.
Product Scope	Which products or services trigger EU-facing evidence pressure?	Product category, regulatory relevance, sector exposure and buyer requests.	Misclassified exposure and delayed preparation.
Traceability	Can the company document the chain from origin to buyer-facing file?	Origin records, supplier mapping, chain-of-custody and transaction evidence.	Buyer delay, audit escalation and procurement exclusion.
Carbon Data	Can emissions or embedded carbon data be explained and supported?	Activity data, methodology, emissions factors, production route and buyer format.	Scope 3 friction, CBAM cost exposure and financing scrutiny.
Origin Evidence	Can origin be documented for commodities or materials where required?	Geolocation, farm or facility data, supplier records and deforestation-risk file.	EUDR buyer-readiness failure and export continuity pressure.
Product Data	Can product composition, lifecycle and technical data be structured?	Technical files, materials, repairability, recyclability, packaging and DPP readiness.	Product continuity risk and remediation cost.
Supplier Risk	Are direct and indirect suppliers mapped, assessed and documented?	Supplier tiers, risk classification, due diligence records and corrective actions.	CSDDD-related buyer concern and supplier substitution risk.
Contract Clauses	Do contracts transfer evidence, audit, reporting or data obligations?	Audit clauses, ESG clauses, traceability duties, reporting obligations and data-sharing terms.	Renegotiation, margin compression or breach exposure.
Board File	Can the evidence be summarized for board-level review?	Executive memorandum, risk matrix, evidence gaps and priority actions.	Uncontrolled escalation and weak decision governance.

Financial Risk Formula

Supplier evidence risk can be structured as a financial exposure model.

Supplier Evidence Risk

$$\text{SER} = \text{ER} \times \text{EG} \times \text{BI} \times \text{CT}$$

- ◆ **ER** = EU-facing revenue or contract value exposed.
- ◆ **EG** = Evidence gap across traceability, carbon, origin, product data and supplier risk.
- ◆ **BI** = Buyer intensity of due diligence, audit, reporting or procurement review.
- ◆ **CT** = Commercial timing risk before contract renewal, shipment approval or financing decision.

This formula cannot be calculated responsibly without internal company data.

Required inputs include revenue by buyer, buyer concentration, product scope, contract calendar, supplier documentation, emissions data, origin records, product files, buyer questionnaires, financing exposure and remediation cost.

The logic is direct: when EU-facing revenue is material and evidence gaps are high, supplier documentation becomes a cash-flow risk.

Decision Trigger for CFOs

A CFO should request an evidence review when one or more checklist areas are marked **Partial**, **Missing** or **Not Buyer-Readable** and at least one of the following conditions exists:

- ◆ The buyer is European or EU-linked.
- ◆ Revenue concentration is material.
- ◆ The contract renewal date is approaching.
- ◆ The buyer requested a supplier questionnaire.
- ◆ The product is connected to EUDR, CBAM, Scope 3, DPP, packaging or due diligence pressure.
- ◆ The company is preparing for financing, investment or acquisition discussions.
- ◆ The board cannot review a clear supplier evidence file.

The trigger is not a legal crisis. The trigger is evidence weakness before a financial decision.

What Villanova ESG Reviews

Villanova ESG reviews whether Brazilian operational reality can be converted into European-facing regulatory evidence.

The review may include:

1. **Buyer Exposure Map:** revenue and contract exposure by European or EU-linked buyer.
2. **Evidence Gap Register:** missing, partial, fragmented or non-buyer-readable documentation.
3. **Supplier Risk Map:** direct and indirect supplier documentation risks.
4. **Regulatory Exposure Matrix:** sector-by-sector connection to EUDR, CBAM, Scope 3, DPP, packaging or due diligence pressure.
5. **Board Memorandum:** executive summary of evidence risk, financial consequence and priority actions.

The objective is not to produce generic ESG content.

The objective is to improve regulatory defensibility and commercial readiness.

Who Should Use This Checklist

- ◆ Brazilian suppliers selling to European buyers.
- ◆ Brazilian exporters facing procurement questionnaires.
- ◆ Companies with buyer concentration in EU-linked multinational groups.
- ◆ Suppliers exposed to commodities, industrial inputs, packaging, electronics, batteries, textiles or recycling claims.
- ◆ Companies preparing for financing, investment, acquisition or joint venture discussions.
- ◆ Boards that need to understand whether evidence gaps can affect revenue, valuation or credit.

The checklist is not designed for companies seeking sustainability language.

It is designed for companies managing evidence risk.

Regulatory Source Trail

This checklist is based on official and institutional regulatory references, including:

- ◆ European Commission — Corporate Sustainability Due Diligence Directive.
- ◆ European Commission — Regulation on Deforestation-free Products.
- ◆ European Commission — Carbon Border Adjustment Mechanism.
- ◆ European Commission — Ecodesign for Sustainable Products Regulation and Digital Product Passport materials.
- ◆ European Commission — Corporate Sustainability Reporting Directive materials.
- ◆ GHG Protocol — Corporate Value Chain Scope 3 accounting and reporting framework.

No legal, tax, audit, customs, technical-certification, buyer-approval, financing or market-access guarantee is implied. Company-specific conclusions require review of contracts, buyer requirements, supplier data, product categories, operational evidence, regulatory scope and documentation quality.

Executive Review Request

If your supplier evidence is partial, missing or not buyer-readable, the issue is already commercial.

Villanova ESG supports companies that need to translate Brazilian operational reality into European-facing regulatory evidence, board-level documentation and buyer-readiness architecture.

For a CFO-level evidence review, contact Villanova ESG.

contact@villanovaesg.com

Received a request from a European buyer?

Send the request — we'll tell you what your file already defends and what is missing. Reply within 1 business day.

villanovaesg.com/supplier-evidence-risk-intake/